25901838 **Reg.No : .....**

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-BVOC (HONOURS) Regular EXAMINATION April 2026

second SEMESTER

Skill Development Components (SDC) - MG2SDCBFS100 - AUDITING

(2025 ADMISSION ONWARDS)

Duration: 2 hours **Maximum Marks: 70**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

VERY SHORT ANSWER

Answer any **10** questions

Each question carries **2** marks

1. Explain how audit contributes to financial discipline. [U] / [CO1]
2. Show the role of physical verification in detecting asset misstatements. [A] / [CO2]
3. Mention the meaning of Internal Control Questionnaire. [U] / [CO3]
4. Mention the qualification needed for a company auditor. [U] / [CO4]
5. Show how basic principles guide the conduct of an audit. [An] / [CO1]
6. Explain how social audit promotes corporate responsibility. [U] / [CO1]
7. Distinguish between audit plan and audit programme in practical use. [U] / [CO2]
8. Show how auditor’s duty extends beyond mere checking of books. [U] / [CO3]
9. State any powers and duties of Comptroller and Auditor General [U] / [CO4]
10. Show the importance of management representation letter. [U] / [CO2]

11. Explain the misappropriation of cash. [U] / [CO1]

12. Distinguish between permanent audit file and current audit file. [U] / [CO2]

[2x10 = 20]

Part B

SHORT ANSWER

Answer any **6** questions

Each question carries **5** marks

13. Explain the meaning and types of vouchers used in audit. [An] / [CO3]

14. Analyse the powers and duties of a company auditor in protecting shareholders' interests. [An] / [CO4]

15. Describe the procedure for vouching cash receipts. [A] / [CO3]

16. Explain the scope and importance of audit in the present business environment. [An] / [CO1]

17. Discuss the application of recomputation in verifying financial data. [A] / [CO2]

18. State the points to be considered for vouching receipts and payments. [An] / [CO3]

19. Examine the different types of audit reports and evaluate their implications for users. [An] / [CO4]

[5x6 = 30]

Part C

ESSAY

Answer any **2** questions

Each question carries **10** marks

20. Analyse the impact of misleading audit reports on capital markets and investor confidence. [An] / [CO4]

21. Explain the relationship and differences among book-keeping, accountancy and auditing with suitable examples. [E] / [CO1]

22. Explain how an auditor evaluates the reliability of audit evidence from different sources. [E] / [CO2]

[10x2 = 20]